ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 06 - ELEMENTS TO SUCCESSFUL SWING TRADING

Welcome back to February 2017's swing trading lesson number two: The Elements to Successful Swing Trading.

Successful swing trading relies on several key hallmarks:

- Obvious trend in higher time frame charts. This means price is clearly moving higher, wanting to move higher after leaving consolidation, or trying to move lower, having already left consolidation and started moving lower.

- Institutional order flow on the higher time frame charts must be clear, giving clear indications that it wants to trade higher or lower.

Further elements contributing to successful swing trading include:

- Interest rate markets supporting the trade. Are we seeing higher or lower interest rates, or divergences in yields that indicate a likely shift in the near future?

- COT data (Commitment of Traders report) is confirming. While not required or necessary, this can significantly enhance the probabilities of the trade.

- Opposing PDA (Premium to Discount) arrays are obvious in the charts, particularly on the monthly, weekly, and daily timeframes.

- Seasonal Tendencies are aligning. Again, this is not required but enhances the probability of the trade panning out profitably.

- Supporting inter-market analysis confirms your idea for the trade.

This list represents the types of things ICT looks for in swing trades. The more items on this list that can be accumulated to validate a trade idea, the more likely the trade will pan out. There will be times when not all these elements are in your favor, but the trade may still be viable.

Sticking to trades with these hallmarks will make swing trading much easier, lead to stunning accuracy, and allow for cherry-picking the best scenarios.

This teaching, particularly due to the homework component, might be viewed as a 'low end' delivery by some, but it is essential for elevating your understanding. It helps reveal your current understanding and provides a basis for future lessons. The homework stimulates thought processes and helps prepare for Lesson Three, where a full swing trading model will be provided. The current focus is on theory, not charts, to encourage deep thinking.

When seeking institutional sponsorship, observe signs in relative strength analysis to support the trade:

- For buying: If you're buying Euro Dollar on a lower low, is the Dollar Index seeing a lower high? This indicates weakness on the dollar, failing to make a higher high, and the lower low on Euro Dollar would be running out sell-stops before a move higher.

- For shorting: If you're shorting Dollar Swissy on a lower high, is the Dollar Index seeing a higher high? This suggests SMT divergence ideas to measure institutional sponsorship.

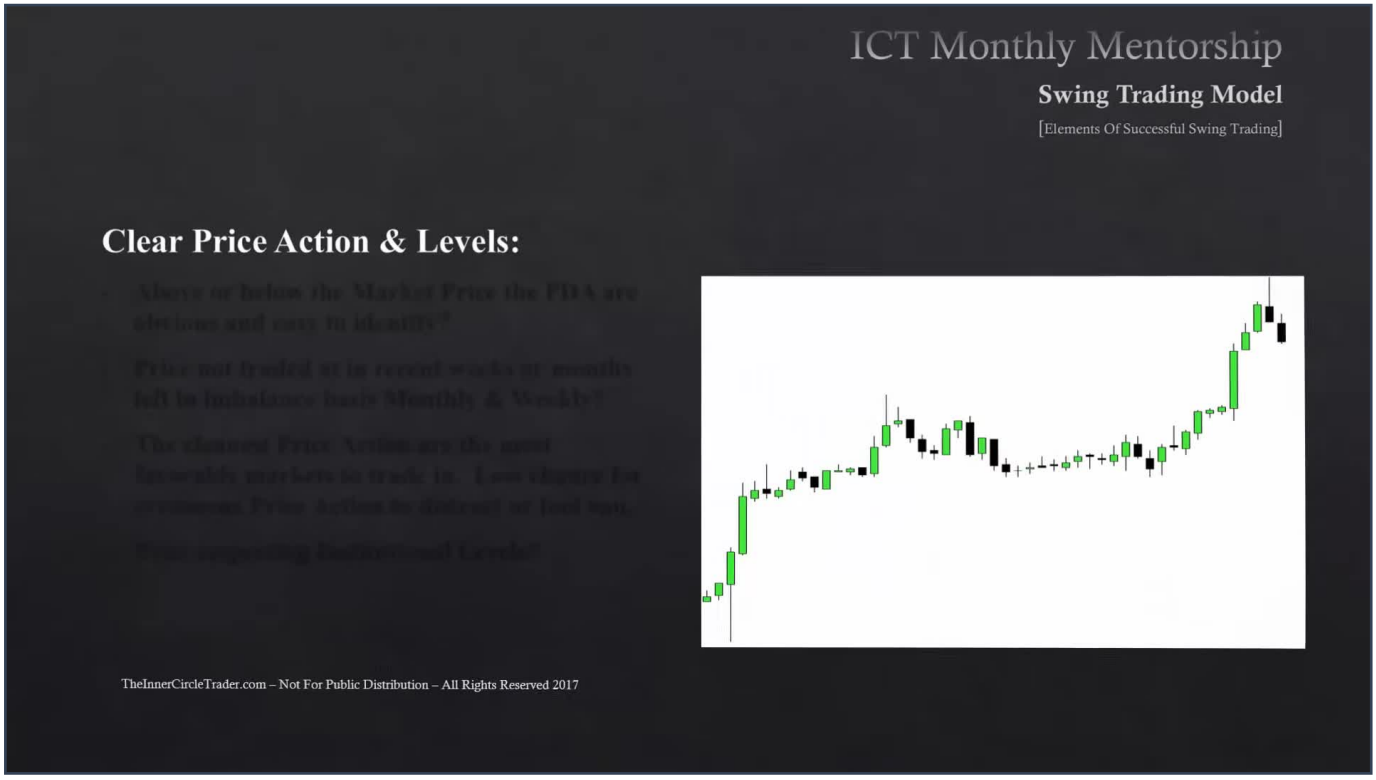
Bank accumulation and distribution are observed by studying price action:

- In bullish markets, while price is moving higher, are all the down candles becoming support and seeing higher prices thereafter? Are the swing highs breaking and seeing higher highs after the swing high is broken? This is commonly seen as higher highs and higher lows, with resistance levels breaking and new support levels being found.

- Bank accumulation is measured by buying at down candles, as new buying occurs when the market recedes or retraces, offering discounts. Institutions do not buy at premium prices; they buy when the algorithm permits opportunities at lower prices.

- In bearish markets, are the up candles becoming resistance and seeing lower prices thereafter? Are the swing lows breaking and are we seeing lower prices as a result? This indicates a failure to break through resistance levels and the creation of new resistance levels in the form of up candles.

- Bank distribution is measured at up candles acting as resistance, as market rallies provide short-term premiums for institutions to sell more, establish new shorts, or add to existing bearish models.



When looking for trade setups, it is crucial to identify markets with clear price action and very discernible levels, both above and below the current market price, regardless of the asset class.

- PDAs (Premium and Discount Arrays) must be obvious and easy to identify. This includes:

- Above current price: Voids, mitigation blocks, breakers, fair value gaps, rejection blocks, old highs or lows.

- Below current price: Mitigation blocks, breakers, liquidity voids, fair value gaps, bullish order blocks, rejection blocks, and old lows or old highs.

- The more obvious these PDAs are in relation to the current price action, the better the trade is likely to be.

- Price not traded at in recent weeks or months, left in an imbalance basis (monthly and weekly), will act as a high draw on price. Price will return to fair value or seek a new level of imbalance. If price is at equilibrium, we look for it to move to an imbalance.

- If price breaks out of consolidation higher, it will move to a premium. If it breaks out lower, it will move to a deep discount.

- The cleanest price action yields the most favorable markets to trade, with less chance for erroneous price action to distract or mislead. Demand the cleanest price action in your charts; the more obvious, the more favorable the outcome.

- Avoid forcing ideas. If a trade literally 'leaps off the chart,' it is highly probable and easy to take. If you have to extensively study, hem and haw, or convince yourself (e.g., 'Is this an order block or a liquidity point?'), it is likely not a good trade, so pass on it.

- Price must respect institutional levels, such as big figure levels (00), 50 mid-figure levels, 80/20 levels, or small round numbers (30/70s).

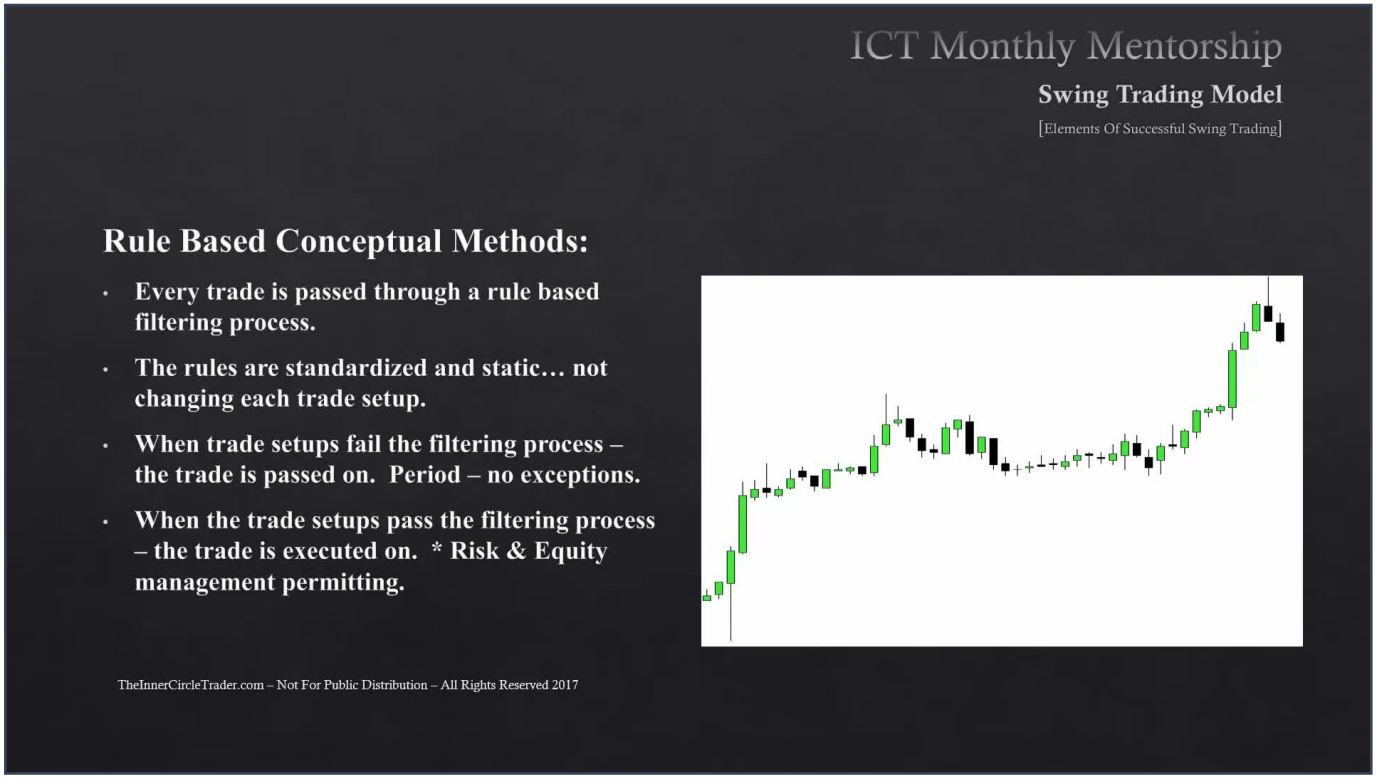
In all trading disciplines, including swing trading, rule-based conceptual methods are essential. Every trade must pass through a rule-based filtering process.

- The rules must be standardized and static, meaning they cannot change for each trade setup. The same procedure must be followed for every single trade setup.

- When trade setups fail the filtering process, the trade is passed on, period, with no exceptions. You must not create exceptions to your rules.

- For example, if your rule-based idea says you cannot take a trade, even if ICT expresses interest in it, you must side with your rule-based ideas.

- When trade setups pass the filtering process, the trade is executed, provided risk and equity management permit.



Effective risk and equity management are paramount:

- Just because a setup exists, you may not be able to take it if you already have trades open and your risk parameters do not permit additional allocation exposure to the marketplace. You cannot assume more risk than a specific percentage.

- Do not break money management rules to take a trade.

- If multiple good setups arise, you may need to weigh whether the new trade is more valid or offers a better potential payout than existing trades. For example, if a soybean trade promises a faster explosion and more velocity than a gold trade, you might consider it.

- You may need to cut an existing trade to take on a new, better setup. However, you cannot take a new setup and maintain open risk in other trades if your risk and equity management does not permit it.

PROBABILITIES AND FAVORABLE REWARD-TO-RISK RATIOS

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Probabilities reward diligence, and focusing on reward-to-risk is crucial for profitability:

- Limiting setups to a 3:1 reward-to-risk ratio permits profitability with as low as 34% accuracy. While not wildly profitable, it is marginally profitable, meaning you can make money even when wrong 66% of the time.

- Framing setups with rewards of five times your risk offers higher odds of profitability and allows you to endure losses much more easily.

- Setups with the most movement potential generally offer the best risk-to-reward ratios. This fundamental aspect of money and risk management is part of the homework assignment.

HOMEWORK ASSIGNMENT: DEVELOPING A MOCK TRADING PLAN

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The homework assignment is to develop a mock trading plan. This involves formulating and creating your own plan, mapping out everything from the beginning to the end of the trading process, including actions while in a trade. This exercise is critical for your understanding before Lesson Three, which will walk you through building a swing trading model from the ground up.

Despite potentially not knowing exactly what to do, your involvement is crucial for a significant leap in understanding. You need to outline your current understanding in writing on paper, detailing:

- What you would look for as an initial opportunity and what frames it.

- What you would identify as a valid trade setup for a swing trade.

Your mock trading plan must also address:

- How you would determine your profit objectives: What makes a level a profit goal? How are you defining this statically, so every trade is filtered in the same capacity?

- How you would frame risk management:

  - How much will you risk per trade?

  - How much of your account will be at total exposure?

  - When will you move your stop loss?

  - Will you take partial profits?

  - This must be in writing.

- What your filter process would consist of: How will you use your understanding of the marketplace and ICT Concepts to filter markets and trade ideas? What is the step-by-step process to eliminate low-probability opportunities and move to the executable stage for your trades? This process should be clearly defined.

ICT urges you not to skip this exercise. Put your mock trading plan into paper form.

- Consider sharing it on the ICT forum for feedback and to stimulate more ideas among peers.

- Deadline: The plan must be completed and on paper by Wednesday. Try to have it done before Friday 8 PM EST, which is when Lesson Three will be released. This deadline is to prevent 'cheating' and missing a valuable growth opportunity.

- Use one example in hindsight for illustration purposes in your study. Document an opportunity using what you currently understand about swing trading and ICT Concepts.

- After completing this month's content, you will compare your initial understanding with the knowledge gained from Lesson Three, which will fill in the gaps and lead to specific setups. This process-oriented thinking is vital for retaining information and building a robust trading approach.

- It's critical not to watch Lesson Three until this exercise is completed. Skipping it will cause you to miss a wonderful opportunity for significant personal growth and understanding.

Take the time to write out your swing trading model from beginning to end:

- What starts the process?

- What changes the process mid-trade?

- What cancels the trade (i.e., if something changes your initial idea and you no longer want to execute)?

Having a comprehensive plan ensures that every decision is deliberate and based on objective reasoning, not emotions or external influences from Talking Heads on TV, Twitter, or forums. You will execute and make decisions solely based on information received from price.

This immediate feedback mechanism will help you know if you are on the right or wrong side of the market, allowing for more fluid trading. If you get stopped out, you will understand exactly why and know if there's a new opportunity or if you should move to the sidelines.

FINAL ENCOURAGEMENT FOR HOMEWORK COMPLETION

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ICT extends his best wishes for your homework. He reiterates the daunting nature of the task for some but emphasizes its critical importance for your benefit and enrichment through the study. Complete the mock-up based on your current understanding of ICT Concepts and how you would frame the trade.

If it takes until Sunday to complete, then watch Lesson Three. However, please do not watch Lesson Three until this exercise is finished. He promises that you will jump leaps and bounds ahead in your understanding if you do this work.